Cash-flow management

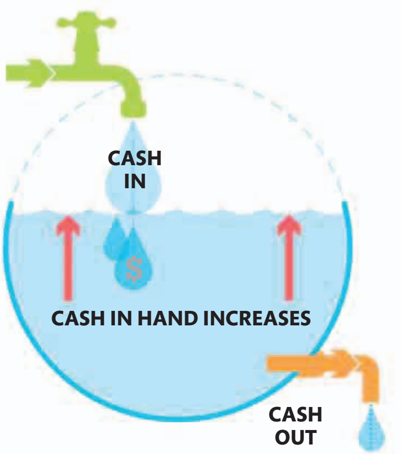
The handling of cash flow determines the survival of any business. Equally important is a company's ability to convert its earnings into cash, which is known as liquidity. No matter how profitable a business is, it may become insolvent if it cannot pay its bills on time. New businesses may become victims of their own success and fail through "insolvency by overtrading" if, for example, they spend too much on expansion before payments start coming in and run out of cash to pay debts and liabilities. In order to manage cash flow, it is essential for companies to forecast cash inflows and outflows. Sales predictions and cash conversion rates are important. A schedule of when payments are due from customers, and when a business has to pay its own wages, bills, suppliers, debts, and other costs, can help to predict shortfalls. If cash flow is mismanaged, a business may have to pay out before receiving payment, leading to cash shortages. Some businesses, such as supermarkets, receive stock on credit but are paid in cash, generating a cash surplus.

WARNING

Top five cash-flow problems

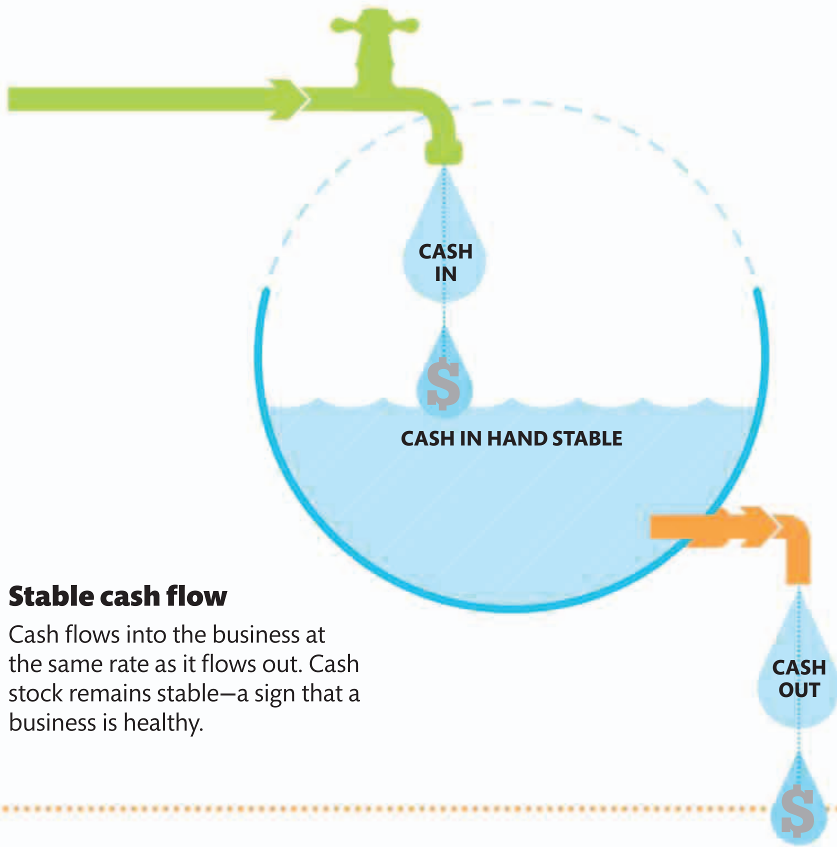
- **Slow payment** of invoices
- **Credit terms** on sales invoices set at 60 or 120 days, while credit terms on outgoings are 30 days
- **Decline in sales** due to change in economic climate or competition, or product becoming outmoded
- **Underpriced product,** especially in start-ups trying to compete
- **Excessive outlay** on payroll and overheads; buying rather than renting assets

Positive and negative cash flow



Positive cash flow

Cash flowing into the business is greater than cash flowing out. Cash in the tank—stock—increases. A business in this position is thriving.



Stable cash flow

Cash flows into the business at the same rate as it flows out. Cash stock remains stable—a sign that a business is healthy.